Northstar Financial Inc.

Annual Report for the fiscal year ended December 31, 2023

Commission file number 001-88001
This report is a prototype fixture used to test retrieval over long financial documents. Northstar Financial Inc. is a diversified financial services holding company.

Item 1. Business Overview

Northstar Financial Inc. operates three reportable segments: Wealth Management, Commercial Lending, and Insurance Brokerage. The Wealth Management segment provides advisory and custody services to high-net-worth clients. Commercial Lending originates senior secured loans to middle-market companies. Insurance Brokerage places property and casualty coverage for corporate clients. The company was incorporated in Delaware in 1998.

Principal executive offices are located at 400 Harbor Plaza, Stamford, Connecticut 06902. The common stock trades on the NYSE under the ticker NSFI.

Item 6. Selected Financial Data

The following table presents selected consolidated financial data for Northstar Financial Inc. for the year ended December 31, 2023. Total revenues were $12.40 billion. Net income attributable to common shareholders was $1.85 billion.

Metric	2023	2022
Total revenues ($ millions)	12,400	11,150
Wealth Management revenue	6,210	5,740
Commercial Lending revenue	4,080	3,690
Insurance Brokerage revenue	2,110	1,720
Net income	1,850	1,420
Diluted EPS ($)	4.12	3.18
Effective tax rate	21.4%	22.1%

Item 1A. Risk Factors

Credit losses in the Commercial Lending segment could increase if middle-market default rates rise. A 100 basis-point increase in credit loss provisions would have reduced 2023 pre-tax income by approximately $210 million. Market declines of 15% in equity values would reduce Wealth Management fee revenue by an estimated $430 million. Cybersecurity incidents remain a material operational risk.

Item 7. Management's Discussion and Analysis

Wealth Management was the largest contributor to 2023 revenue, generating $6.21 billion, or 50.1% of total revenues. Assets under management ended the year at $412 billion, up 9% year over year. The Board of Directors declared a cash dividend of $1.48 per common share in 2023, paid quarterly at $0.37 per share. Share repurchases totaled $640 million.

Item 1. Employees and Properties

As of December 31, 2023, Northstar Financial Inc. employed 18,420 people, of whom 11,200 were in the United States. The company leased 2.4 million square feet of office space. No single office other than the Stamford headquarters accounted for more than 10% of total square footage.

Item 9B. Other Information

On January 12, 2024, subsequent to year end, Northstar announced an agreement to acquire Harbor Trust Partners for $780 million in cash. The transaction is expected to close in the third quarter of 2024, subject to regulatory approvals. Harbor Trust managed $28 billion of client assets as of December 31, 2023.